

CHAPTER 11

Realistic Market Expectations

KEY CONCEPTS

- Realistic market expectations are important to investment planning.
- Market volatility is more predictable than market return.
- There is a relationship between market risk and long-term expected return.
- Market forecasts are useful in the long term but not in the short term.

Several tools are used in the design, implementation, and maintenance of an asset allocation strategy. [Part Three](#) provides you with those tools so that you can design an asset allocation that fits your financial needs.

One important facet in the asset allocation process is for investors to have realistic market expectations. An investment plan works only if a person's expectations for market returns are in line with economic reality. In passing, some people say that market returns are not predictable, and I agree that that is true in the short term. However, the long-term return on markets can be estimated with a reasonable degree of accuracy, and those expectations should be used to assist in the investment planning process.

There are several methods used by investment analysts to forecast market returns. Some of these methods rely on a “top-down” picture of economic variables, which filter down into the expected returns on various asset classes. Other methods rely on a “bottom-up” strategy that builds from individual securities forecasts and cumulates in asset-class expected returns. Most analysts and economists agree to disagree on every element of market forecasting ranging from the methodology used to the modeling techniques to the input into those equations. Interestingly, despite differences of opinion and techniques, most long-term forecasts tend to fall within a narrow range of returns. At the end of this chapter is my own forecast of long-term market risk and return.

FORECASTING MARKET RETURNS